

M/S Awadh Steels & Alloys (P) Ltd. v. U.P. Power Corporation

High Court of Judicature at Allahabad · Division Bench · 30 May 2012 · Writ-C No. 13149 of 2003 · **Writ petition dismissed as having become infructuous.**

HEADNOTE

A challenge to Clause 4.55 of the U.P. Electricity Distribution Code, 2002 — bank-guarantee security only for contracted load exceeding 10 MW — became infructuous after that Code was repealed. Clause 4.20 of the Electricity Supply Code, 2005 makes security common for all heavy consumers and does not distinguish by load. Petition dismissed as infructuous.

FACTUAL SUMMARY

The petitioners, industrial consumers, challenged Clause 4.55 of the U.P. Electricity Distribution Code, 2002, as discriminatory: consumers with contracted load exceeding 10 MW could furnish security by bank guarantee, while other large and heavy industrial consumers below 10 MW could not. An interim order dated 27 March 2003 allowed them to submit a bank guarantee for the demanded security deposit. The 2002 Distribution Code was later repealed and replaced by the U.P. Electricity Supply Code, 2005.

HOLDING-UNITS

HOLDING-UNIT · EA2003::47

security deposit

HOLDING

Section 47 of the Electricity Act, 2003 provides for reasonable security to be determined by the Regulation.

¶ 1

HOLDING-UNIT · UP-2005::4.20

security deposit

HOLDING

After repeal of the U.P. Electricity Distribution Code, 2002, Clause 4.20 of the Electricity Supply Code, 2005 does not distinguish among heavy consumers by contracted load and makes security common for all such categories. The challenge to Clause 4.55 of the 2002 Code (bank-guarantee option only for load exceeding 10 MW) had therefore become infructuous, and the writ petition was dismissed as such. ¶ 1

PRINCIPLE TAGS

additional-security A challenge to Clause 4.55 of the U.P. Electricity Distribution Code, 2002 — bank-guarantee security only for contracted load exceeding 10 MW — became infructuous after that Code was repealed.. ¶ 1

security-deposit-is-advance-payment-not-debt A challenge to Clause 4.55 of the U.P. Electricity Distribution Code, 2002 — bank-guarantee security only for contracted load exceeding 10 MW — became infructuous after that Code was repealed.. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 4.55 OF THE 2002 DISTRIBUTION CODE UNLAWFULLY DISCRIMINATED AMONG LARGE AND HEAVY INDUSTRIAL CONSUMERS ON CONTRACTED LOAD FOR BANK-GUARANTEE SECURITY

Not reached; petition dismissed as infructuous after repeal of the 2002 Code. ¶ 1

